Money Basics: Compound Interest, Budgeting & Emergency Funds

A practical introduction to budgeting, interest, emergency savings, and investing.

1. Start with a plan

Personal finance is the practice of deciding how to use money you earn, receive, save, borrow, and invest. A useful plan balances today's needs with future goals. You do not need a perfect spreadsheet to begin: knowing what comes in, what must go out, and what you want to save is a strong first step.

A budget is a plan for your money over a period, usually a month. First estimate take-home income—the money left after taxes and payroll deductions. Then list regular expenses, irregular expenses, debts, and goals. Review the plan after a month and adjust it to real life.

2. The 50/30/20 rule

This popular guideline divides take-home income into three broad groups: **50% needs**, **30% wants**, and **20% savings and debt repayment**. Needs include basic housing, utilities, essential groceries, and necessary transport. Wants include optional purchases such as entertainment, subscriptions, and restaurant meals. Savings and debt payments can include an emergency fund, long-term investing, and extra payments toward high-cost debt.

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Budget example

Imagine take-home pay is ■30,000 per month. A 50/30/20 starting plan would look like this:

Group	Share	Amount	Examples
Needs	50%	■15,000	Rent, basic groceries, electricity
Wants	30%	■9,000	Movies, hobbies, eating out
Savings/debt	20%	■6,000	Emergency fund, investments, debt

The rule is a starting point, not a command. If essential costs use 65% of income, forcing needs into 50% may be unrealistic. Set priorities, reduce flexible spending where possible, and build the habit of saving what you can.

3. Simple vs. compound interest

Interest is money paid for the use of money. With simple interest, interest is calculated only on the original principal. With compound interest, earned interest is added to the balance, so future interest can be earned on both the principal and earlier interest.

Worked example

Start with ■10,000 at 5% annual interest, compounded once per year, with no deposits or withdrawals. Year 1: ■10,500. Year 2: ■11,025. Year 3: ■11,576.25. With simple interest, the balance after three years would be ■11,500. The difference is modest at first but can become larger over longer periods.

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Why compounding matters

Compounding rewards time and consistency. The balance grows because each period’s gains become part of the base for the next period. The result depends on the rate, how often interest is added, how long the money remains invested, fees, taxes, and whether returns are guaranteed. Market investments do not provide a guaranteed rate.

4. Emergency funds

An emergency fund is money reserved for unexpected and necessary expenses: a sudden repair, urgent travel, medical bill, or a period without income. It helps you avoid relying on expensive borrowing when life changes suddenly.

A common goal is three to six months of essential expenses, but the right amount depends on job stability, dependants, insurance, and available support. Start with a small achievable target, automate a regular transfer if possible, and keep the money in a safe, accessible place rather than in a volatile investment.

5. Saving vs. investing

Saving usually emphasizes safety and access, making it suitable for emergencies and near-term goals. **Investing** means buying assets—such as shares, bonds, or funds—with the hope of earning a return over time. Investments can lose value, especially over short periods. Match the choice to the time horizon: money needed soon generally belongs in a lower-risk, accessible place.

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A practical monthly routine

1. Check income and bills. 2. Set aside essentials. 3. Choose a realistic savings amount. 4. Track flexible spending. 5. Review once a week. 6. At month-end, compare the plan with actual spending and change one thing for next month.

Common mistakes

- Treating the 50/30/20 rule as universal rather than flexible.
- Investing emergency money in assets that could fall in value.
- Assuming investment returns are guaranteed.
- Forgetting annual or irregular costs such as repairs, school fees, or insurance.
- Waiting to save “whatever is left” instead of planning for it.

Quick self-check

1. What do 50, 30, and 20 represent?
2. How does compound interest differ from simple interest?
3. Name two reasons to keep an emergency fund accessible.
4. Which is generally better for money needed next month: saving or a volatile investment?
5. Why is the 50/30/20 rule only a guideline?

Answer key

1. Needs, wants, savings/debt. **2.** Compounding earns interest on earlier interest too. **3.** Emergencies and unexpected necessary costs. **4.** Accessible, lower-risk savings. **5.** Income and essential expenses vary by person.